

Reason

Know your reason behind the purchase of any stock?

Before we buy a stock, we need to put together our investment thesis.

- Is the product new to the market and expected to perform well?
- Does the company have a large market share that it plans to keep for the next five years?
- Is the company developing a value-added product or establishing a new manufacturing facility?
 - What is the reason behind it? Even if it is mature, one reason could be that the company is doing well and will continue to do so in the future.

As a result, it requires patience, discipline, consistency, to find good companies at attractive valuations, and develop an investment thesis. We will sell the stock the moment we believe that the investment thesis has been proven wrong.

“There has to be a proper logical reason behind each of our investments.”

Favourable Valuations & Long Term Outlook



You might expect that the company's product and services might be relevant 10 years from now.

Current changes and trends benefit the company.

You believe the company has advantages over competitors.

When can we say there's a favourable long term outlook

“Combine this with favourable valuations and you have good chance of finding a winning company.”